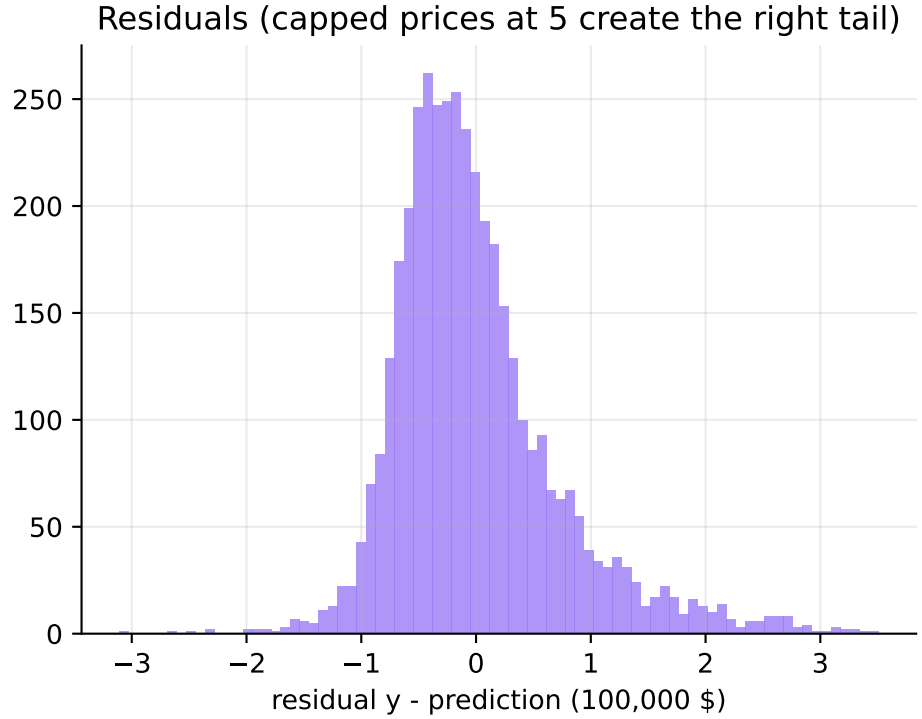

Test set: R2 = 0.608
perfect prediction
predicted value (100,000 $)
true value (100,000 $)
7
6
5
4
3
2
1
0
−1
−1
0
1
2
3
4
5
6
7


Residuals (capped prices at 5 create the right tail)
residual y - prediction (100,000 $)
250
200
150
100
50
0
−3
−2
−1
0
1
2
3